My UCHUMI
Home Of Value

UCHUMI SUPERMARKETS AND SUBSIDIARIES

CONDENSED STATEMENT OF COMPREHENSIVE INCOME FOR THE SIX MONTHS ENDED 31ST DECEMBER 2015

	UNAUDITED		AUDITED
	Six Months to 31st December 2015	Six Months to 31st December 2014	30th June 2015
	Kshs'000	Kshs'000	Kshs'000
Net Sales	4,261,303	6,828,197	12,954,581
Cost of Sales	(3,359,750)	(5,456,403)	(10,816,813)
Gross Profit	901,553	1,371,794	2,137,768
Other Income	144,660	225,526	450,610
	1,046,214	1,597,320	2,588,378
Operating Expenses	(2,010,976)	(1,799,676)	(4,816,551)
Profit from Operating Activities	(964,762)	(202,356)	(2,228,173)
Change in Fair Value of Investment	-	-	100,000
Property	-	-	-
Provisions and Write offs	-	-	(1,049,037)
Finance Costs	(52,999)	(60,001)	(335,854)
Profit (Loss) Before Taxation	(1,017,761)	(262,357)	(3,513,064)
Taxation	-	-	91,704
Profit After Taxation	(1,017,761)	(262,357)	(3,421,360)
Profit Per Share			
Basic and Diluted	(2.79)	(0.72)	(10.85)
Number of shares outstanding	365Mln	265Mln	365Mln

CONDENSED STATEMENT OF FINANCIAL POSITION AS AT 31ST DECEMBER 2015

Assets			
Non Current Assets	4,973,616	4,474,540	4,524,959
Current Assets	1,187,865	3,520,004	1,777,287
Total Assets	**6,161,481**	**7,994,544**	**6,302,246**
Shareholders' Equity and Liabilities			
Capital and Reserves			
Share Capital	1,824,808	2,222,948	1,824,808
Reserves	(2,006,642)	1,767,825	(1,085,453)
	(181,834)	3,990,773	739,355
Non Current Liabilities			
Obligation under Finance Lease	323,251		382,944
Deferred Tax	-	78,185	-
Term Loans	-	99,185	-
Current Liabilities	6,020,063	3,826,402	5,179,947
Total Shareholders' Funds and Liabilities	**6,161,481**	**7,994,544**	**6,302,246**

Commentary on Interim Financial Results

The condensed unaudited financial statements for the six months ended 31st December 2015, have been prepared in accordance with International Accounting Standard No. 34 'Interim Financial Reporting'.

The Group reported a consolidated loss of Kshs 1.018 billion as at 31st December 2015. This loss is attributed to a drop in sales due to low stock levels as we rebuild supplier confidence eroded in the past years and the closure of Uganda and Tanzania operations, along with two non-viable branches in Kenya. Operating expenses grew by 12% following rationalization of 1,200 staff and costs related to implementation of Collective Bargaining Agreement.

The Board and Management continue the pursuit of strategies aimed at stabilizing the company's performance namely the sale of non-core assets, sourcing for a financial investor, building supplier confidence and enriching customer experience at our stores.

The Directors do not propose the payment of an interim dividend.

By order of the Board

Ms. Catherine Ngahu
CHAIRPERSON